

Warner Bros. Discovery, Inc.

Streaming Finally Pays Its Way; the Balance Sheet Still Owns the Story: Two More Years of Creditors First

WBD, NasdaqGS

NEUTRAL

Price (12 May 2025): **\$9.23**

Price Target (Dec-25): **\$10.00**

INVESTMENT THESIS

We rate Warner Bros. Discovery Neutral with a Dec-25 target of \$10.00, ~8% above the \$9.23 close of 12 May. The Q1 2025 print of 8 May was, on the metric the market now watches, genuinely good: 5.3 million streaming subscribers added to 122.3 million, Streaming adjusted EBITDA of \$339 million against \$86 million a year earlier, and a reiterated commitment that management is, in David Zaslav's words, "firmly on track to deliver at least \$1.3 billion of EBITDA in 2025, up 85% versus 2024." The shares rose 5.3% on the session; eighteen months ago this stock fell 19% on a quarter in which EBITDA grew 22%. The market has switched the variable it prices.

We think both reactions were half right. This remains an equity that is 40% of an enterprise. On our numbers market capitalisation is \$22.8bn against net debt of \$34.0bn, so a \$56.8bn enterprise value trades on 6.3x LTM adjusted EBITDA of \$9,035m. Every half-turn of that multiple is worth roughly \$1.85 per share, or 20% of the equity. \$2.2bn of debt was repaid in Q1 alone and gross debt is down to \$38.0bn. But 4.2x gross against the stated 2.5x to 3.0x target still means \$11bn to \$15bn of further repayment, which at our estimated free cash flow is two and a half to three and a half more years. Meanwhile 75% of Q1 segment EBITDA came from Global Linear Networks, where EBITDA fell 14% ex-FX and advertising fell 11%. The streaming engine is real; it is still bolted to the shrinking asset that funds it.

- Streaming is now a business, not a promise: \$339m of Q1 EBITDA, 122.3m subscribers (+23% y/y) and a guided path to "at least \$1.3 billion" in 2025 and 150m subscribers by end-2026.
- Linear is declining faster than streaming is replacing it: Global Linear Networks EBITDA of \$1,793m fell 14% ex-FX on domestic audience declines of 27%, and TNT is airing its final NBA season.
- Free cash flow of \$302m fell 23% y/y as content spend normalises; gross leverage of 4.2x versus a 2.5-3.0x target keeps the equity second in line behind \$38bn of creditors.

COMPANY OVERVIEW

Warner Bros. Discovery was created on 8 April 2022 by combining Discovery, Inc. with AT&T's WarnerMedia. In December 2024 the company reorganised into two operating divisions, Streaming & Studios and Global Linear Networks, a structure Zaslav told investors provides "full optionality."

Akul Veauli

Akul Veauli

Equity Research Analyst
akul.veauli@akulveauli.com
Akul Veauli Securities LLC

PRICE PERFORMANCE



Month-end closes May-24 to Apr-25 plus the 7, 8 and 12 May 2025 closes. The 8 May close of \$9.01, the day of the Q1 print, was a 5.3% gain.

COMPANY DATA

Shares O/S (mm)	2,473
Market Cap (\$bn)	22.8
Gross Debt (\$bn, 31 Mar)	38.0
Net Debt (\$bn, 31 Mar)	34.0
Enterprise Value (\$bn)	56.8
Net Leverage (LTM)	3.8x
EV / LTM Adj. EBITDA	6.3x
52-Week Range (close)	\$6.71 - \$12.49
52-Week Price Change	+10.1%
Avg. Daily Volume (20d, mm)	40.0
Debt Duration / Cost	13.9 yrs / 4.7%
FY25E FCF Yield (mkt cap)	18.9%
Streaming Subscribers (mm)	122.3
Streaming ARPU (global)	\$7.11
Beta Short Interest	- -
Dividend	None
Fiscal Year End	December

KEY METRICS / ESTIMATES

(\$mm unless stated)	FY23A	FY24A	FY25E	FY26E
Revenue	41,321	39,321	38,200	37,900
Adj. EBITDA	10,200	9,032	9,200	9,400
margin	24.7%	23.0%	24.1%	-
Free cash flow	6,161	4,427	4,300	4,400
Net debt (\$bn)	39.9	34.6	30.3	25.9
Net leverage	3.9x	3.8x	3.3x	2.8x
EV / Adj. EBITDA	-	-	6.2x	6.0x
Diluted EPS	\$(1.28)	\$(4.62)	-	-

FY23A and FY24A per the Q4'24 earnings release (27 Feb 2025). All FY25E and FY26E lines and the net debt path are analyst-derived, not published consensus; sourcing detail is set out under Important Disclosures.

From Q1 2025 the company reports three segments: on Q1 revenue of \$8,979m the split was Streaming \$2,656m (Max, HBO, discovery+), Studios \$2,314m (Warner Bros. Pictures, Warner Bros. Television, DC, games) and Global Linear Networks \$4,774m (CNN, TNT, TBS, Discovery Channel, HGTV, Food Network, Eurosport), before eliminations. Global streaming subscribers were 122.3m at 31 March, 57.6m domestic and 64.6m international, at a global ARPU of \$7.11. Max relaunched internationally through 2024 and launched in Australia during Q1 2025; management targets more than 150m subscribers by the end of 2026. David Zaslav is President and CEO and Gunnar Wiedenfels is CFO. The company pays no dividend, repaid \$2.2bn of debt in Q1 2025, and has taken gross debt from \$49.5bn at the end of 2022 to \$38.0bn.

Q1 2025 RESULTS: THE MIX HAS FLIPPED, THE TOTAL HAS NOT

Q1'25, reported before the open on 8 May, was the mirror image of the quarters that defined 2023 and 2024: the headline shrank while the thing inside it grew. Revenue of \$8,979m fell 9% ex-FX, with every consolidated revenue line down: distribution -1% ex-FX, advertising -8%, content -25% against a prior year that carried the *Dune: Part Two* box office and a games release. The net loss available to WBD narrowed to \$(453)m, or \$(0.18) per diluted share, from \$(966)m and \$(0.40). Total adjusted EBITDA of \$2,105m rose 4% ex-FX, cash from operations was \$553m and free cash flow was \$302m, down 23% year over year. The shares closed up 5.3% at \$9.01, and had extended to \$9.23 by 12 May.

The reason the market forgave a 9% revenue decline is visible in the segment table. Streaming revenue rose 9% ex-FX to \$2,656m, with distribution up 8% on a 23% year-on-year subscriber increase and advertising up 35% on the ad-lite tier. Streaming adjusted EBITDA of \$339m improved by \$253m year on year, and the 5.3m sequential subscriber addition to 122.3m came alongside management reiterating both the "at least \$1.3 billion" 2025 EBITDA commitment and the 150m end-2026 subscriber goal, which Zaslav now frames as a level to "surpass." The offset is that global ARPU fell 9% ex-FX to \$7.11, with domestic ARPU down 5% to \$11.15 on the broader wholesale distribution of Max Basic with Ads: the subscribers are arriving, but each one is worth less, and the segment's economics increasingly resemble volume-led international expansion rather than premium domestic pricing.

Studios adjusted EBITDA rose 63% ex-FX to \$259m on revenue of \$2,314m (-16% ex-FX), the profit improvement driven by lower theatrical content expense and the absence of last year's *Suicide Squad* games impairment rather than by top-line growth. The quarter ended before the segment's real 2025 news: *A Minecraft Movie*, released 4 April, had grossed over \$900m worldwide by the date of this note, and *Sinners*, released 18 April, over \$250m, so Q2 will carry the theatrical evidence for management's claim that the studio is rebuilding toward its stated ambition of \$3bn of annual EBITDA. Global Linear Networks is where the other half of the story sits: revenue fell 6% ex-FX to \$4,774m, advertising fell 11% on domestic audience declines of 27%, and segment EBITDA fell 14% ex-FX to \$1,793m. That one segment still produced 75% of Q1 segment adjusted EBITDA.

On advertising, management's tone was steady rather than confident. Zaslav told the call "the good news is so far so good," with Q2 "tracking pretty much exactly in-line with Q1," while conceding that upfront conversations would "start a little slower this year." Wiedenfels said the company had taken "some precautionary measures, nothing extreme" on costs against a macro backdrop that had already marked the stock: the shares closed as low as \$7.69 on 8 April during the tariff-driven drawdown, and the White House's early-May proposal of a 100% tariff on films produced outside the U.S. is an unquantifiable but non-zero overhang for a studio that shoots substantial product abroad.

Cash is the line that has changed direction for the worse. Free cash flow of \$302m fell 23% year on year on higher net content investment and studio-expansion capex, and the comparison gets structurally harder: 2023's \$6.2bn was flattered by the strike shutdowns, 2024 delivered \$4.4bn, and Q1'25 confirms content spend has normalised. What survives is still substantial, roughly \$4.3bn a year on our estimates against a \$22.8bn market capitalisation, an 18.9% equity free cash flow yield, but the direction matters for a deleveraging schedule measured in years. The Q1 balance-sheet work was real: \$2.2bn repaid, \$1.5bn of 2026 notes refinanced with a 364-day term loan for interest savings, and a \$6.0bn revolver left undrawn.

FINANCIAL SUMMARY

Warner Bros. Discovery, Inc. -- Summary Financials

\$ in millions unless stated	FY23A	FY24A	Q1'25A	FY25E	FY26E
Total revenues	41,321	39,321	8,979	38,200	37,900
Distribution	20,237	19,701	4,886	-	-
Advertising	8,700	8,090	1,980	-	-
Content	11,203	10,297	1,866	-	-
Total Adjusted EBITDA	10,200	9,032	2,105	9,200	9,400
Adj. EBITDA margin	24.7%	23.0%	23.4%	24.1%	-
Streaming Adj. EBITDA	-	-	339	≥1,300	-
Studios Adj. EBITDA	-	-	259	-	-
Global Linear Networks Adj. EBITDA	-	-	1,793	-	-
Net loss available to WBD	(3,126)	(11,311)	(453)	-	-
Diluted EPS	\$(1.28)	\$(4.62)	\$(0.18)	-	-
Cash from operating activities	7,477	5,375	553	-	-
Free cash flow	6,161	4,427	302	4,300	4,400
Gross debt, period end (\$bn)	44.2	40.2	38.0	-	-
Net debt, period end (\$bn)	39.9	34.6	34.0	30.3	25.9
Net leverage (LTM adj. EBITDA)	3.9x	3.8x	3.8x	3.3x	2.8x
Streaming subscribers, period end (mm)	97.7	116.9	122.3	-	>150 (guided, end-2026)

Source: WBD Q4/FY2024 earnings release (27 Feb 2025) and Q1'25 earnings release and Form 10-Q (8 May 2025), all via SEC EDGAR and the company's investor site; Q1 2025 earnings call transcript (8 May 2025); Akul Veauli Securities LLC estimates. The company reorganised its reporting segments effective Q1 2025 into Streaming, Studios and Global Linear Networks; comparable full-year segment EBITDA on the new basis has not been published for FY23 and FY24 and is shown as "-" rather than restated by us. FY25E Streaming adjusted EBITDA reflects management's guidance of "at least \$1.3 billion... up 85% versus 2024" (Q1'25 call). FY25E and FY26E totals, revenue and free cash flow are analyst-derived; the company does not guide these lines and dated consensus could not be sourced unpaid. Net debt for FY25E and FY26E is projected by deducting estimated free cash flow from the \$34.6bn reported at 31 Dec 2024 and assumes no buybacks, dividends or acquisitions. The company's stated gross debt of \$38.0bn differs from the \$37,426m carrying value on the 31 Mar balance sheet (\$2,779m current, \$34,647m non-current), which is net of unamortised discount and issuance costs and excludes finance leases. "-" indicates a figure the company does not disclose on that basis, or a forward estimate we decline to fabricate: segment-level and revenue-category forecasts, GAAP net income and EPS forecasts, and forward gross debt are not published by the company and were not obtainable as dated consensus.

THE BALANCE SHEET IS STILL THE INVESTMENT CASE, AND IT IS WINNING SLOWLY

WBD has kept doing what it said it would do. It repaid \$2.2bn of debt in Q1 2025 after \$11.8bn across 2022-23 and further repayment through 2024; gross debt of \$38.0bn now stands against \$4.0bn of cash, for net debt of \$34.0bn and net leverage of 3.8x LTM adjusted EBITDA of \$9,035m. The maturity profile remains genuinely defensive: average duration of 13.9 years at an average cost of 4.7%, no refinancing cliff, a \$6.0bn undrawn revolver, and an opportunistic refinancing of \$1.5bn of 2026 notes into a cheaper 364-day term loan. This is not a distressed balance sheet, and it is a better one than the balance sheet of eighteen months ago.

It is, however, still a balance sheet that consumes the equity story, and the goalposts have not moved even as the EBITDA beneath them has. The stated objective remains gross leverage of 2.5x to 3.0x. Gross leverage today is 4.2x. On our FY25E adjusted EBITDA of \$9.2bn, 3.0x implies gross debt of \$27.6bn and 2.5x implies \$23.0bn, against \$38.0bn today. That is \$10.4bn to \$15.0bn of further repayment. At \$4.3bn to \$4.4bn of annual free cash flow, and assuming every dollar of it goes to debt, the target range is reached somewhere between mid-2027 and 2028. The denominator is the reason the finish line keeps receding: adjusted EBITDA fell from \$10.2bn in 2023 to \$9.0bn in 2024, so billions of repayment bought only a fraction of a turn of gross leverage across the year.

Two structural events since our framework was set have changed the shape, though not the direction, of that path. First, the company wrote off \$9.1bn of Networks goodwill in mid-2024, an accounting acknowledgement of what the market had already priced: the linear asset that services the debt is worth materially less than the merger assumed. Second, TNT is airing its final NBA season. The company lost the domestic package from 2025-26, litigated, and settled with the league in November 2024 for international rights in select markets, digital highlights through Bleacher Report and House of Highlights, and the licensing of *Inside the NBA* to ESPN. Management has backfilled with cheaper volume, the College Football Playoff sublicense, Roland-Garros from 2025, Big East basketball, and argues the portfolio maths improve without the NBA's escalating fee. The risk is not the maths; it is that affiliate-fee negotiations from 2025-26 onward will be conducted by distributors who can point out that the network no longer carries the product that anchored the last round of pricing.

STREAMING IS NOW A BUSINESS; LINEAR IS NOW A PROBLEM WITH A DATE

The DTC turnaround we treated sceptically in 2023 has happened, and we want to say so plainly. Streaming adjusted EBITDA has gone from \$(1.6)bn in 2022 to roughly \$0.7bn in 2024 to a guided "at least \$1.3 billion" in 2025, with Q1 delivering \$339m of it. Subscribers grew 22.7m year on year to 122.3m, against 95.1m and shrinking when we last wrote at length on the name. Advertising within streaming grew 35% ex-FX. Wiedenfelds' claim that in Europe "the decline of the traditional business is being outrun by the increase in our subscriber and ad revenue" is the crossover the whole equity case has waited for, stated as fact for one region and as ambition for the rest.

The problem has migrated rather than disappeared. In 2023 streaming was sub-scale and shrinking while linear was large and stable; in 2025 streaming is scaled and growing while linear is large and eroding at an accelerating rate. Global Linear Networks EBITDA fell 14% ex-FX in Q1 on audience declines of 27%, domestic pay-TV subscriber declines of 9%, and affiliate-rate growth of just 2%. If the segment produces roughly \$7.0bn of EBITDA in 2025 on our estimates and declines low-teens annually, it loses around \$900m of EBITDA a year, well above the roughly \$600m a year streaming is currently adding. The company's own arithmetic for total EBITDA growth therefore depends on the Studios recovery, which is why *Minecraft* and *Sinners* matter beyond their grosses: they are the first evidence for the \$3bn studio ambition that bridges the gap. The December reorganisation into two divisions, with its "full optionality" framing and its separately disclosed economics, is sensibly read as management building the ability to act on this mix problem rather than merely report it. We take no view on whether a separation happens; we note that the structure now exists and that the market has begun to pay for the option, most visibly in the 15% single-day rise to the 52-week closing high of \$12.49 on 12 December, the day the structure was announced.

VALUATION AND PRICE TARGET

Our \$10.00 Dec-25 target is the equal-weighted average of three anchors, each built on FY25E adjusted EBITDA of \$9.2bn, FY25E free cash flow of \$4.3bn, projected year-end 2025 net debt of \$30.3bn and 2,473mm shares. (1) Enterprise multiple: 6.0x FY25E adjusted EBITDA gives a \$55.2bn enterprise value; deducting net debt leaves \$24.9bn of equity, or \$10.07 per share. The 6.0x is a quarter-turn below the 6.3x the market pays today, reflecting the linear mix, partly offset by streaming's improving quality. At 5.5x the anchor is \$8.21 and at 6.5x it is \$11.93. (2) Equity free cash flow yield: \$4.3bn capitalised at 16%, slightly less demanding than the 15-18% we would have applied when cash flow was strike-flattered, gives \$26.9bn, or \$10.87 per share. At 18% the anchor is \$9.66 and at 14% it is \$12.42. (3) Sum of the parts: Global Linear Networks at 4.0x \$7.0bn, Streaming at 12.0x \$1.3bn, Studios at 8.0x \$2.2bn and corporate at 6.0x \$(1.2)bn gives a \$54.0bn enterprise value and \$9.58 per share. The simple average is \$10.17, rounded to \$10.00, an implied return of +8.3% with no dividend, which maps to Neutral under our >15% and <0% thresholds.

The rating remains hostage to small moves in the inputs, because equity is only 40% of enterprise value. Running all three anchors on bearish settings, 5.5x, an 18% yield and Global Linear Networks at 3.5x, produces \$8.68 and an Underweight. Running them on bullish settings, 6.5x, a 14% yield and Global Linear Networks at 4.5x with Streaming at 14.0x and Studios at 9.0x, produces \$12.43 and an Overweight. Our target crosses into Overweight above \$10.61 and into Underweight below \$9.23. An investor who believes the streaming ramp and the studio slate outrun the linear decline, or that the December structure precedes a value-realising separation, should own the stock; an investor who believes linear EBITDA declines mid-teens or worse should not. We sit between those, closer to the first than we were in 2023, and the honest expression of that is Neutral with a target modestly above the market.

Two disclosures on the inputs. First, we deliberately do not use a consensus price target as a valuation anchor, because we could not date a full consensus mean to on or before 13 May 2025 from an unpaywalled source, and post-print target revisions were still arriving as this note was written. Second, GAAP earnings remain unusable as an anchor: the FY24 loss of \$(4.62) per share embeds a \$9.1bn goodwill impairment and \$7.5bn of acquisition-related amortisation and restructuring, and Q1'25's \$(0.18) still carries \$1.6bn of the same. The loss line tells you about the merger and the write-downs, not about the business.

At our target WBD would carry a \$24.7bn market capitalisation, a \$55.0bn enterprise value on projected year-end net debt, 6.0x FY25E adjusted EBITDA and a 17.4% equity free cash flow yield. That is not a demanding valuation, and we do not claim the stock is expensive. We claim it is fairly priced for what it is: a deleveraging holder of a declining but cash-generative linear asset, a scaled and now genuinely profitable streaming asset, and a studio with early evidence of a rebuilt slate, in which the equity holder remains second in line to \$38bn of creditors for at least two more years of cash flow, with an unpriced option on corporate action layered on top.

UPSIDE RISKS

Risks that would drive the shares above our price target include, but are not limited to, the following:

- Streaming compounds past the targets. Management guides "at least \$1.3 billion" of 2025 EBITDA and over 150m subscribers by end-2026, and Q1 added 5.3m with launches (Australia in Q1, further markets ahead) still rolling. Every \$100m of streaming EBITDA above plan is worth roughly \$0.49 per share at our 12x segment multiple.
- The studio slate lands. *A Minecraft Movie* (>\$900m worldwide by the note date) and *Sinners* are the strongest start to a film year since the merger, with *Superman* due in July as the first release of the rebooted DC Studios plan. Studios EBITDA of \$2.6bn in FY26 versus our \$2.2bn FY25E adds roughly \$1.30 per share at 8x.
- Deleveraging compounds in the equity holder's favour. With equity at 40% of enterprise value, every \$1bn of debt repaid at a constant multiple is worth \$0.40 per share; three years of \$4.3bn free cash flow is roughly \$5.20 per share of mechanical transfer if the multiple holds.
- The December structure becomes a transaction. The two-division reorganisation, described by management as providing "full optionality," is the natural precursor to a separation of Global Linear Networks from Streaming & Studios; a credible path to separating the growth assets from the declining ones could re-rate both, as the 15% move on the announcement day suggested.
- Advertising stabilises. Q2 is "tracking pretty much exactly in-line with Q1" and scatter is firm; a flat domestic linear ad market against our assumed continued decline would add roughly \$400m of near-100%-margin revenue.
- Sports costs step down. The NBA's domestic fee rolls off after the current season while the CFP, Roland-Garros and Big East arrive at lower cost, giving Global Linear Networks a 2026 margin cushion our flat-decline model does not credit.

DOWNSIDE RISKS

Risks that would drive the shares below our price target include, but are not limited to, the following:

- Leverage remains the dominant risk and it is arithmetic, not opinion. Gross debt of \$38.0bn against a 2.5-3.0x target requires \$10-15bn of further repayment. Every half-turn of enterprise multiple lost is worth roughly \$1.85 per share, 20% of the equity, because equity is only 40% of enterprise value.
- The EBITDA denominator keeps falling. Adjusted EBITDA declined 11% ex-FX in 2024; if 2025 declines rather than stabilises near \$9.2bn, the leverage ratio deteriorates from both directions and the deleveraging timetable extends past 2028, as it already did once between 2023 and today.
- Linear advertising is deteriorating, not pausing. Advertising fell 11% ex-FX in Q1 on audience declines of 27%, and Global Linear Networks still supplies 75% of segment EBITDA; a mid-teens segment decline removes roughly \$1bn of EBITDA a year, above everything streaming currently adds.

- ARPU dilution caps the streaming prize. Global streaming ARPU fell 9% ex-FX to \$7.11 and domestic ARPU fell 5% on wholesale ad-lite distribution; subscriber growth that arrives at falling unit economics requires ever-larger additions to hit the same EBITDA, and the 150m goal can be met while the \$1.3bn goal is missed.
- Affiliate renewals without the NBA. TNT enters its post-NBA affiliate negotiations from 2025-26; distributors paying for a bundle that has lost its anchor sports property may demand rate concessions that break the 2% domestic affiliate-rate growth that currently cushions the subscriber decline.
- Free cash flow steps down further. Q1 FCF fell 23% on normalised content spend and studio capex; 2023's \$6.2bn is not coming back, and every \$500m below our \$4.3bn estimate extends the deleveraging path by roughly five months.
- Macro and policy. The shares fell to \$7.69 in the April tariff drawdown; a proposed 100% tariff on films produced outside the U.S., however improbable in final form, targets precisely the studio economics on which the recovery leg of our estimates rests, and a consumer downturn would hit advertising and churn simultaneously.
- Reflexivity between the debt and the equity persists. Near \$9 the company cannot use equity to accelerate deleveraging, which prolongs the period during which all free cash flow accrues to creditors, which is precisely why the shares are near \$9.
- Corporate-action risk cuts both ways. A separation that loads Global Linear Networks with the debt could strand more leverage against the declining asset than its cash flows comfortably service, transferring value to Streaming & Studios shareholders only if the ratings agencies and the bond market cooperate.

ANALYST CERTIFICATION

I, Akul Veauli, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject company and its securities. I also certify that no part of my compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed in this report. I am a real person and the sole author of this report. I am not a registered or certified research analyst: any "AC" analyst-certification mark previously shown next to my name was self-applied for layout purposes, is not a real credential, and has been removed. "Akul Veauli Securities LLC" is an invented firm name and is not a real or registered entity.

IMPORTANT DISCLOSURES

Estimate and market-data sourcing, continued from the cover page. EV of \$56.8bn and multiples are computed on the \$9.23 close of 12 May 2025 and 2,473mm shares outstanding per the Q1'25 balance sheet; diluted weighted-average shares were 2,462mm in Q1'25. LTM adjusted EBITDA of \$9,035m is FY24A of \$9,032m plus Q1'25 of \$2,105m less Q1'24 of \$2,102m. FY25E and FY26E EV/EBITDA in the cover table hold the 12 May enterprise value constant and are illustrative only. Segment-level FY23 and FY24 figures on the new three-segment basis are shown as "-" because the company has not published full-year restatements; Q1'25 segment figures are as reported. All forward EPS is omitted rather than estimated; GAAP EPS is not a meaningful valuation input given the impairment and amortisation charges described in the text.

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Point-in-time basis: this note is written as at 13 May 2025 and uses no information published after that date. Market data are as at the close of 12 May 2025, the last trading session before the note date. The \$9.23 close, the \$9.01 close of 8 May, the month-end closes used in the price chart, the \$6.71 to \$12.49 52-week closing range (12 August 2024 and 12 December 2024), the +10.1% 52-week price change and the daily volumes from which the 40.0mm twenty-session average was computed were sourced from a public historical price service; the 52-week range is stated on a closing basis and the intraday range is wider. Beta and short interest are shown as "-" because neither could be sourced on a basis dated on or before 13 May 2025, and current-day values for either would be a point-in-time error rather than an approximation.

Estimate sourcing: FY2025E Streaming adjusted EBITDA of at least \$1.3bn reflects management's statement on the Q1 2025 earnings call of 8 May 2025 that the company is "firmly on track to deliver at least \$1.3 billion of EBITDA in 2025, up 85% versus 2024"; the 150m end-2026 subscriber goal was reiterated on the same call. The company does not publish guidance for total adjusted EBITDA, revenue or free cash flow, and FY2025E and FY2026E totals, including the segment mix used in the sum-of-the-parts, are analyst-derived and are not published consensus, which could not be dated to on or before 13 May 2025 from an unpaywalled source. The net debt path assumes all free cash flow is applied to debt with no buybacks, dividends or acquisitions. Figures that could not be verified against a datable public source are marked "-" rather than estimated. Management quotations are taken from the Q1 2025 earnings release and the Q1 2025 earnings call transcript, both dated 8 May 2025, and from company communications regarding the December 2024 corporate reorganisation dated 12 December 2024. Box-office figures for *A Minecraft Movie* and *Sinners* are approximate cumulative worldwide grosses as reported by public box-office trackers through 11 May 2025.

The price performance chart plots reported month-end closing prices from May 2024 to April 2025 together with the closes of 7, 8 and 12 May 2025. It is not a tick-accurate daily series and should not be read as complete market data.

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RATING DEFINITIONS

Overweight: total return expected to exceed the average total return of the analyst's coverage universe over the next 6-12 months. Neutral: total return expected to be broadly in line with that average. Underweight: total return expected to be below that average. For this note the rating was applied mechanically to the implied twelve-month total return from the derived price target: Overweight above +15%, Underweight below 0%, Neutral otherwise. WBD's implied return of +8.3%, computed as the \$10.00 target against the \$9.23 close of 12 May 2025 with no dividend, maps to Neutral. The rating would flip to Overweight at a target above \$10.61 and to Underweight at a target below \$9.23. These are generic sell-side rating conventions, not a registered firm's published rating scale.

GENERAL DISCLAIMER

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